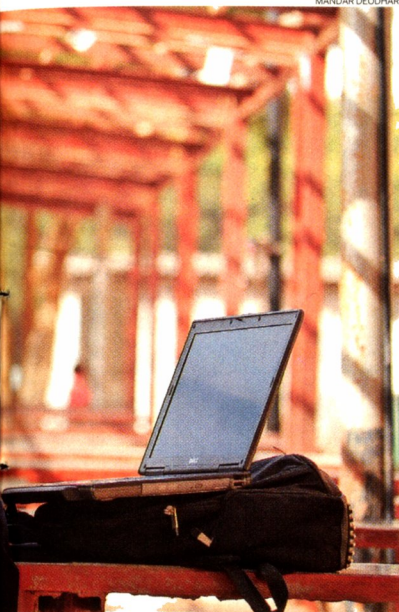


MANDAR DEODHAR



80-100 per cent placements, the students haven't necessarily got the company of their choice. Average salaries too are down by 20-30 per cent, IIMS included, over the last year. "Welcome to the real world," says Apurv Pandit, editor, Pagalguy.com, an online social network site for MBA aspirants. "Salaries have undergone a long-awaited correction and students who were expecting to cash in on the past wave, will now have to rethink."

Package or profile? That's the concern. It could mean having to make long-term career choices which is supported by a report by Lisa Kahn, a Harvard University Ph.D, which shows that recessionary graduates have difficulty switching to better jobs after the economy picks up. MBA graduates in a buoyant economy are more likely to pick consulting and i-banking, which pay significantly higher than other jobs. But in this market, hardly any i-banks are hiring, so students are back to sales and marketing. Hastha Krishnan, CEO, Ma Foi Global Search Services, agrees, "Career changes in functions in India are rare as very few students do a second MBA. So if you get stuck in a certain profile after the first, you stay there all your life, unless you do a second MBA and have the opportunity to represent your case. Here MBA is a one-time lottery. Miss it and you don't get another chance."

Take Deepti Ingle from Chennai. She graduated from the Great Lakes Institute of Management, having worked with Larsen & Toubro for four years in heavy engineering. The MBA, she thought, would help her get a better salary—a 40-50 per cent jump—while enhancing her profile. Far from it. Companies that were offering jobs, she says, were giving 10-20 per cent cuts. Ingle is now looking for a job, but is not feeling bad, "as things are looking up". Similarly, an ISB graduate, earning Rs 24 lakh at a securities trading firm, is renegotiating at a 30 per cent cut with her former employer.

Not all want to compromise though. Subhramanya Rao from the

Bangalore-based Alliance Business Academy has not been placed. Despite a loan of Rs 6 lakh to repay, he would rather wait a few months than jump at existing offers, mostly BPOs and Insurance companies coming his way. Rao is looking at a business analysts' job with a software firm or as an equity analyst at a finance company. "I'm very specific about my profile", he says, adding "I'm tougher than the market."

It's not B-schoolers alone. Even law and engineering graduates are in the same boat. In January, a student of IIT Kanpur, G. Suman, committed suicide after he couldn't secure a job. Worried that the same pressure might get to their students, institutes are now appealing to the Government to ease the loan burden. According to the Indian Banks Association, around 4.5 lakh students will be graduating with MBA, B.Tech and B.Pharm degrees in June this year, of whom 40 per cent have taken loans. At the end of June 2008, the total value of unpaid educational loans stood at Rs 19,817 crore. Next year, it would be higher.

led by H. Chaturvedi, director, BIMTECH, B-schools have written to the prime minister, the finance minister and the Reserve Bank of India for help. "Just like the Government had announced a moratorium for farm loans, they should look at student loans also," says Chaturvedi. Their demand: extend the educational loan moratorium period to two years after the completion of studies against the current year and the repayment period to at least six years vis-à-vis the current three to four years, while lowering the EMI. But the irony cannot be missed: institutes themselves have hiked their fees. While IIM-A has announced a 100 per cent hike in fee, BIMTECH is raising it by 67 per cent.

Yet there is optimism with corporate India hinting at a recovery. B-schools are still hopeful of companies trickling in with offers. Who knows, the class of 2010 could actually be celebrating their placements. ■



REUBEN SINGH

Nikhil Vatrana, 27

INTERNATIONAL MANAGEMENT INSTITUTE, GHAZIABAD

His dream was to work in an aerospace company but is now with a power company. Earns Rs 35,000 a month, one-third of which will go into paying off his loan EMI.

"I will now take the CFA exams and later apply for a finance job with a bank."